

Brian Amorim Cabaco

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Citizenship: Portuguese Visa: UK EU Settled Status

Education

PhD in Economics, University College London	2020–Present
MRes in Economics, University College London (<i>with distinction</i>)	2018–2019
MSc in Economics, University College London (<i>with distinction</i>)	2017–2018
BSc in Economics, University of Lausanne	2014–2017

Fields

Macroeconomics, Applied Macroeconometrics

References

Prof. Morten O. Ravn (*primary*)

Department of Economics
University College London
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Associate Prof. Daniel J. Lewis

Department of Economics
University College London
daniel.j.lewis@ucl.ac.uk

Prof. Vincent Sterk

Department of Economics
University College London
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Working Papers

Job Market Paper

The Macroeconomic Effects of Mergers and Acquisitions in the United States

Abstract: I study the macroeconomic effects of merger waves in the United States since 1980. Firm-level event studies show that merger announcements are associated with positive abnormal returns for acquirers and their competitors, but not for targets' competitors. This pattern is difficult to reconcile with industry-wide signaling alone and is consistent with anticompetitive effects. I aggregate the estimated abnormal returns into a proxy for merger activity and find that increases in the proxy are followed by persistent declines in GDP and labor productivity and a modest rise in inflation. To interpret these patterns, I develop a firm-dynamics model with an auction-based market for mergers and variable markups. The model matches merger-pairing patterns, firm sales concentration, and the markup distribution. Counterfactual simulations imply sizable welfare losses from mergers through higher markups, lower allocative efficiency, and lower firm entry.

Antitrust, Market Power, and U.S. Economic Outcomes *with Morten O. Ravn*

Abstract: We provide a narrative record of U.S. federal antitrust cases from the mid-1950s to 2023. We document a fundamental shift in enforcement from civil non-merger and criminal cases toward civil merger cases around 1980. Focusing on publicly listed firms, we estimate significant negative abnormal returns following case filings and use them to construct a measure of antitrust activity. Estimates at the two-digit sector and aggregate levels show that higher antitrust activity is followed by stronger competition, with contrasting effects across case types. At both levels, the combined civil non-merger and criminal enforcement measure is associated with greater markup dispersion and weaker economic activity; at the aggregate level, the measure is also associated with lower R&D investment. Civil merger enforcement is associated with lower markup dispersion and lower activity in treated sectors, but with higher aggregate GDP, consumption, and R&D investment.

Monetary Policy Identification and Transmission: A Narrative High-Frequency Approach *with Adriana Grasso*

Abstract: We identify four dimensions of monetary policy in the euro area by applying narrative restrictions to high-frequency data. Well-documented episodes—including Mario Draghi’s “whatever it takes” speech—allow us to distinguish conventional-policy, forward-guidance, quantitative-easing, and asymmetric-country-risk-premia shocks using one narrative dominance restriction per shock. After accounting for predictable high-frequency asset movements and state-dependent variances in a Bayesian factor model, we find limited evidence of economically meaningful information shocks. We then use the identified shocks to estimate the aggregate effects of different monetary policy instruments. A Bayesian VAR with distributed lags and stochastic volatility permits overidentifying restrictions on the impulse responses. Contractionary conventional-policy, forward-guidance, and quantitative-easing shocks reduce activity and inflation. Adverse asymmetric-country-risk-premia shocks reduce activity while raising inflation modestly, albeit imprecisely. Forward guidance has small effects on economic activity; asset purchases have larger effects, but both are less potent than conventional policy.

Work in Progress

The Macroeconomic Effects of Currency Movements

Abstract: I provide the first semi-structural estimates of exchange rate effects on macroeconomic aggregates in an emerging market using a granular instrumental variable (Gabaix and Koijen, 2024) constructed from financial fund equity flows into South Africa. I find that appreciations against the USD are inflationary and cause expansions in output and credit—responses resembling credit shocks rather than traditional trade effects. I document a powerful exchange rate credit channel: in countries with substantial foreign-denominated debt, local currency appreciations reduce debt burdens, spurring higher credit. These findings reveal that the USD matters both as the trade invoicing currency and the funding currency for debt. USD-denominated liabilities constrain domestic monetary policy autonomy in emerging markets while extending the reach of the US Federal Reserve, underscoring the need for international central bank cooperation.

Seminars and Conferences

2025: Surrey–UCL–ESSEX–SOTON Workshop in Macroeconomics, UCL Stone Center, UCL Macro Reading Group

2024: ECB DG Monetary Policy Internal Seminar, ECB DG Monetary Policy Monetary Strategy Seminar x2, UCL Macro Reading Group

2023: UCL Macro Reading Group, UCL PhD Seminar

2022: UCL Macro Reading Group, UCL PhD Seminar

2021: UCL Upgrade Seminar

Fellowships and Awards

PhD in Economics Scholarship, Department of Economics at UCL	2024–Present
PhD Scholar Research Grant, James M. and Cathleen D. Stone Centre at UCL	2024
ESRC Graduate Studentship	2020–2023
ESRC Studentship Enhancement for Advanced Quantitative Methods	2020–2023

Teaching Experience

University College London, Graduate, Macroeconomics	2020–Present
University College London, Undergraduate, Macroeconomic Theory and Policy	2020–2021

Professional Experience

European Central Bank, DG Monetary Policy, External Consultant	2024–Present
European Central Bank, DG Monetary Policy, PhD Trainee	2024
London Economics, Economic Analyst	2020–2021

Skills

Software: Python, Matlab, R, SQL, Stata, VBA

Languages: French (native), English (fluent), Portuguese (fluent), German (basic)